BUSINESS ENVIRONMENT AND BUSINESS ETHICS

Unit 4: Topic-Wise Case-Based MCQs (200 MCQs on 50 Case Studies)

How to use: Each topic below has its own case studies, with four questions after each case. Attempt one topic at a time, then check your answers in the topic-wise answer key at the end of the file. Each question carries 1 mark and has one correct option.

Topic Index

Topic	Syllabus area	Cases	MCQs	Q. Nos.
1	Business Environment, Internal and External Factors	5	20	1-20
2	PESTLE Analysis	5	20	21-40
3	Role of Government in Business	4	16	41-56
4	Ethical Values of Society and Corporate Social Responsibility	6	24	57-80
5	Economic Systems and Policies	4	16	81-96
6	LPG Reforms and Their Impact on the Indian Economy and Society	8	32	97-128
7	Environmental Protection Laws and Regulation of Unethical Business Practices	6	24	129-152
8	Consumerism and Consumer Rights	6	24	153-176
9	Ethical Codes in Business and Their Relevance	6	24	177-200

Topic 1: Business Environment, Internal and External Factors

5 case studies | 20 questions | Q. 1 to 20

Case 1.1: Sundaram Auto Components *(Questions 1 to 4)*

Sundaram Auto Components, a Pune-based manufacturer, supplies parts to large carmakers. Its machines are outdated, but its workforce is highly skilled and loyal, and its mission stresses quality. Recently a new emission rule has pushed carmakers to demand cleaner components, a rival has begun selling similar parts at lower prices, and a weaker rupee has raised the cost of imported steel.

1. Which of the following is an internal factor for Sundaram?

(A) The new emission rule
(B) Its skilled and loyal workforce
(C) The rival's lower prices
(D) The weaker rupee

2. The rival's lower prices are best classified as part of the:

(A) Internal environment
(B) Macro-political environment
(C) Natural environment
(D) Micro (task) environment

3. The rise in imported steel cost due to the weaker rupee is mainly a:

(A) Macro-economic (external) factor
(B) Controllable internal factor
(C) Strength in a SWOT analysis
(D) Factor of organisational culture

4. In a SWOT analysis, the outdated machinery would be listed as a:

(A) Opportunity
(B) Threat
(C) Weakness
(D) Strength

Case 1.2: FreshBite Foods *(Questions 5 to 8)*

FreshBite Foods, a start-up selling packaged snacks, tracks competitor launches, changing consumer tastes, food-safety rules and raw material prices every month before deciding on new products. Last quarter this tracking helped it launch a millet-based snack just before health-conscious demand surged, while a larger rival that ignored the trend lost sales.

5. FreshBite's monthly tracking of its surroundings is called:

(A) Cost auditing
(B) Budgetary control
(C) Environmental scanning
(D) Diversification

6. The early launch of the millet snack shows that studying the environment helps a firm to:

(A) Identify opportunities early
(B) Eliminate all competition
(C) Avoid legal compliance
(D) Remove its internal weaknesses automatically

7. Changing consumer tastes illustrate which feature of the business environment?

(A) Static nature
(B) Complete controllability
(C) Absence of complexity
(D) Dynamic nature

8. The larger rival's loss of sales shows its failure to:

(A) Maintain accounting records
(B) Adapt to environmental change
(C) Train its employees
(D) Design attractive packaging

Case 1.3: Malabar Spice Exporters *(Questions 9 to 12)*

Malabar Spice Exporters, a Kochi-based firm, has an efficient cold-storage system and a strong brand abroad. This year, a poor monsoon reduced pepper output, a recession in Europe cut import demand, a Vietnamese competitor began offering lower prices, and the government announced a new export incentive scheme for spices.

9. The poor monsoon is best described as:

(A) An internal, controllable factor
(B) An external, uncontrollable natural factor
(C) A strength of the firm
(D) A managerial policy decision

10. The cold-storage system and the strong brand are examples of:

(A) External threats
(B) Macro-political factors
(C) Environmental opportunities
(D) Internal strengths

11. The new government export incentive is best viewed as:

(A) An external opportunity
(B) An internal weakness
(C) An external threat
(D) A controllable strength

12. The recession in Europe reducing import demand is a:

(A) Weakness in the internal environment
(B) Factor of the firm's organisational structure
(C) Macro-economic factor in the external environment
(D) Strength of the firm

Case 1.4: StreamNow, an OTT Platform *(Questions 13 to 16)*

StreamNow is an online video streaming platform. New start-ups can enter the market with little capital. Viewers can also watch free videos on other websites or use cable TV. Film and series producers demand very high licensing fees for popular content, and subscribers can cancel and switch to another platform at any time.

13. The ease with which new start-ups can enter the market represents:

(A) Bargaining power of buyers
(B) Threat of substitutes
(C) Threat of new entrants
(D) Bargaining power of suppliers

14. Free video websites and cable TV represent:

(A) Threat of substitutes
(B) Threat of new entrants
(C) Bargaining power of buyers
(D) Government regulation

15. Producers demanding very high licensing fees reflect the:

(A) Bargaining power of buyers
(B) Threat of substitutes

(C) Threat of new entrants
(D) Bargaining power of suppliers

16. Subscribers cancelling and switching platforms freely reflects the:

(A) Bargaining power of suppliers
(B) Bargaining power of buyers
(C) Threat of new entrants
(D) Industry-wide inflation

Case 1.5: Greenleaf Stationery, Thrissur *(Questions 17 to 20)*

Greenleaf Stationery is a small shop near several schools. Its main customers are the schools; its paper wholesaler is its key supplier; and an online seller is a new competitor. The owner has also noticed that a change in GST rates altered prices, a national slowdown cut household spending, and the growth of digital learning is reducing paper use.

17. The paper wholesaler is part of the shop's:

(A) Macro environment only
(B) Micro environment
(C) Internal environment only
(D) Natural environment

18. The change in GST rates is a:

(A) Micro-environmental factor
(B) Internal factor
(C) Controllable factor
(D) Macro-environmental factor

19. The growth of digital learning that reduces paper use is mainly a:

(A) Technological and social trend in the macro environment
(B) Internal managerial decision
(C) Supplier-related micro factor
(D) Competitor-related micro factor

20. Which statement about the shop's environment is correct?

(A) The owner can fully control the macro environment
(B) The micro environment has no effect on the shop
(C) The owner can influence the micro environment, such as negotiating with the supplier, far more than the macro environment
(D) Neither environment affects a small shop

Topic 2: PESTLE Analysis

5 case studies | 20 questions | Q. 21 to 40

Case 2.1: SunVolt Energy *(Questions 21 to 24)*

SunVolt Energy plans to sell rooftop solar systems in India. It notes that the government offers a subsidy for rooftop solar, bank interest rates are falling so loans are cheaper, battery technology has become much cheaper, and net-metering regulations now allow households to sell extra power to the grid.

21. The government's subsidy for rooftop solar is mainly a:

(A) Social factor
(B) Technological factor
(C) Political factor
(D) Environmental factor

22. Falling bank interest rates making loans cheaper is an:

(A) Economic factor
(B) Legal factor
(C) Social factor
(D) Political factor

23. The fall in battery costs due to improved technology is a:

(A) Economic factor only
(B) Legal factor
(C) Social factor
(D) Technological factor

24. The net-metering regulations are best classified as a:

(A) Technological factor
(B) Legal factor
(C) Social factor
(D) Economic factor

Case 2.2: UrbanThread Fashion *(Questions 25 to 28)*

UrbanThread, a clothing retailer, is reviewing its environment. A new law has raised minimum wages for garment workers. High inflation is reducing customers' spending on non-essential items. Activists criticise the industry for textile waste and demand recycling. Younger buyers increasingly prefer sustainable, ethically made clothing.

25. The rise in minimum wages by law is a:

(A) Social factor
(B) Legal factor
(C) Technological factor
(D) Environmental factor

26. High inflation reducing spending on non-essentials is an:

(A) Legal factor
(B) Political factor
(C) Environmental factor
(D) Economic factor

27. The criticism over textile waste and demand for recycling is an:

(A) Environmental factor
(B) Economic factor
(C) Technological factor
(D) Political factor

28. Young buyers' preference for sustainable clothing is a:

(A) Legal factor
(B) Economic factor
(C) Social factor
(D) Political factor

Case 2.3: AgriMart Online *(Questions 29 to 32)*
AgriMart, an online platform selling seeds and fertilisers to farmers, is preparing its annual plan. The government has suddenly banned the export of onions, which has hit farm incomes. At the same time, smartphone use in villages has grown rapidly. The management uses a PESTLE chart to organise these external developments but admits that the chart must be refreshed regularly.

29. The sudden ban on onion exports is mainly a:
(A) Social factor
(B) Technological factor
(C) Political factor (trade policy)
(D) Internal factor

30. The rapid rise in rural smartphone use is a:
(A) Technological factor
(B) Political factor
(C) Legal factor
(D) Economic factor only

31. The tool AgriMart uses to organise external developments is:
(A) Break-even analysis
(B) Ratio analysis
(C) Job analysis
(D) PESTLE analysis

32. Why must the PESTLE chart be refreshed regularly?
(A) Internal factors never change
(B) External factors keep changing, so an old chart becomes outdated
(C) The law requires monthly charts
(D) It replaces the need for planning

Case 2.4: MediCare Hospitals *(Questions 33 to 36)*
MediCare Hospitals, a chain in Kerala, is planning expansion. The state government has launched a health insurance scheme for low-income families. The share of elderly people in the population is rising. Telemedicine technology now allows remote consultations. A new law also requires hospitals to protect the privacy of patient data.

33. The state's health insurance scheme is best classified as a:
(A) Technological factor
(B) Political factor
(C) Social factor
(D) Environmental factor

34. The rising share of elderly people is a:
(A) Legal factor
(B) Technological factor
(C) Political factor
(D) Social (demographic) factor

35. The availability of telemedicine is a:
(A) Technological factor
(B) Social factor
(C) Legal factor

(D) Economic factor

36. The patient-data privacy requirement is a:

(A) Technological factor
(B) Environmental factor
(C) Legal factor
(D) Social factor

Case 2.5: Nova Beverages *(Questions 37 to 40)*

Nova Beverages prepared two reports. Report 1 covers changes in excise tax rates, a shift in the age profile of consumers, new bottling technology and stricter rules on plastic waste. Report 2 lists the brand's strong recognition and its weak distribution network in rural areas.

37. Report 1 is based mainly on:

(A) Analysis of internal strengths only
(B) Ratio analysis
(C) PESTLE analysis of external macro factors
(D) Cost-volume-profit analysis

38. The weak rural distribution network in Report 2 is a:

(A) Weakness (an internal factor in SWOT)
(B) Threat (an external factor)
(C) Political factor
(D) Technological factor

39. The change in excise tax rates is best classified as a:

(A) Social factor
(B) Technological factor
(C) Internal factor
(D) Political (fiscal policy) factor

40. The sensible next step for Nova's management is to:

(A) Stop monitoring the environment
(B) Combine the external findings with internal strengths and weaknesses to form strategy
(C) Ignore the external report
(D) Reduce the number of staff

Topic 3: Role of Government in Business

4 case studies | 16 questions | Q. 41 to 56

Case 3.1: TechNova Industrial Park *(Questions 41 to 44)*
A state government sets up an industrial park offering land at subsidised rates, assured power supply and a five-year tax holiday to new firms. It also enforces strict pollution norms on all units in the park. The park's water supply is run by a state-owned corporation, while most factories are privately owned.

41. Offering subsidised land and a tax holiday reflects the government's role as a:

(A) Regulator
(B) Promoter
(C) Auditor
(D) Consumer only

42. Enforcing strict pollution norms reflects the government's role as a:

(A) Promoter
(B) Entrepreneur
(C) Financier only
(D) Regulator

43. The state-owned corporation running the water supply reflects the government's role as an:

(A) Entrepreneur or producer
(B) Auditor
(C) Importer
(D) Judge

44. The coexistence of state-owned and private firms in the park is characteristic of a:

(A) Pure capitalist economy
(B) Pure socialist economy
(C) Mixed economy
(D) Traditional economy

Case 3.2: Inflation Control Measures *(Questions 45 to 48)*
Inflation in an economy has risen to 7 per cent. The central bank raises the repo rate. The Finance Ministry cuts excise duty on fuel to ease prices. Meanwhile, the securities market regulator tightens disclosure rules for listed companies to protect investors.

45. The increase in the repo rate is an instrument of:

(A) Fiscal policy
(B) Industrial policy
(C) Monetary policy
(D) Trade policy

46. The cut in excise duty on fuel is an instrument of:

(A) Fiscal policy
(B) Monetary policy
(C) Disinvestment policy
(D) Licensing policy

47. The body that tightens disclosure rules for listed companies in India is:

(A) RBI
(B) TRAI
(C) IRDAI
(D) SEBI

48. A higher repo rate generally leads to:

(A) Cheaper loans for all borrowers

(B) Costlier borrowing, which tends to dampen demand
(C) Higher money supply
(D) An immediate fall in taxes

Case 3.3: Industrial Planning in the 1950s *(Questions 49 to 52)*
A researcher studying Indian industry in the 1950s finds that the state set up steel plants through public sector companies, required private firms to obtain licences under the Industries (Development and Regulation) Act, 1951, and followed Five-Year Plans. The Industrial Policy Resolution of 1956 divided industries into three schedules, and the Second Plan stressed heavy industry.

49. The requirement for private firms to obtain licences came from:
(A) The Competition Act, 2002
(B) The Industries (Development and Regulation) Act, 1951
(C) FEMA, 1999
(D) The Consumer Protection Act, 2019

50. The body that formulated the Five-Year Plans until 2014 was the:
(A) NITI Aayog
(B) SEBI
(C) Election Commission
(D) Planning Commission

51. The Industrial Policy Resolution of 1956 classified industries into:
(A) Three schedules
(B) Two schedules
(C) Five schedules
(D) Ten schedules

52. The Second Five-Year Plan (1956-61) laid special emphasis on:
(A) Services exports
(B) Financial liberalisation
(C) Rapid industrialisation, especially heavy industry
(D) Software development

Case 3.4: Karthik Plastics and Government Policy *(Questions 53 to 56)*
Karthik Plastics, a small manufacturer, benefits from the government's 'Make in India' campaign and a production-linked incentive scheme. Since 2017 it pays a single unified indirect tax instead of several separate ones. Recently, the Competition Commission of India fined a group of cement companies for fixing prices together.

53. The unified indirect tax introduced in July 2017 is:
(A) Securities Transaction Tax
(B) Customs duty
(C) Goods and Services Tax (GST)
(D) Wealth tax

54. The production-linked incentive scheme reflects the government's role as a:
(A) Promoter
(B) Regulator only
(C) Judge
(D) Auditor

55. The Competition Commission fining the cement companies for price-fixing reflects the government's role as a:
(A) Promoter
(B) Entrepreneur
(C) Planner only

(D) Regulator

56. The 'Make in India' initiative, launched in 2014, mainly aims to:

(A) Increase imports
(B) Promote domestic manufacturing
(C) Nationalise industries
(D) Abolish exports

Topic 4: Ethical Values of Society and Corporate Social Responsibility

6 case studies | 24 questions | Q. 57 to 80

Case 4.1: Bharat Steels Ltd and CSR *(Questions 57 to 60)*

Bharat Steels Ltd had a turnover of Rs. 1,200 crore this year. Its net profits for the last three years averaged Rs. 70 crore, and this year's net profit was Rs. 80 crore. The board is deciding how to meet its CSR obligations under the Companies Act, 2013, and is considering several proposals.

57. The minimum CSR amount Bharat Steels should spend is:

(A) Rs. 1.6 crore
(B) Rs. 1.4 crore
(C) Rs. 24 crore
(D) Rs. 70 lakh

58. Is the company covered by the CSR provision?

(A) No, because only government companies are covered
(B) No, because manufacturing firms are exempt
(C) Yes, but only if it is foreign-owned
(D) Yes, because its turnover exceeds Rs. 1,000 crore and its profit exceeds Rs. 5 crore

59. Which proposal is eligible as a CSR activity under Schedule VII?

(A) Funding a rural drinking water project
(B) A donation to a political party
(C) A festival bonus for employees
(D) An advertising campaign for its steel

60. The section of the Companies Act, 2013 that governs CSR is:

(A) Section 149
(B) Section 177
(C) Section 135
(D) Section 2

Case 4.2: Aarav Pharma: Shareholders versus Stakeholders *(Questions 61 to 64)*

At the annual meeting of Aarav Pharma, some shareholders argue that the firm's only duty is to maximise profit within the law. The CEO disagrees, saying that employees, patients and the local community also matter. She announces a low-cost medicine range for rural patients and a plan to report on people, planet and profit.

61. The shareholders' stand is closest to the view of:

(A) R. Edward Freeman
(B) John Elkington
(C) Milton Friedman
(D) Henri Fayol

62. The CEO's stand is closest to:

(A) Stakeholder theory
(B) Pure shareholder theory
(C) Profit-only theory
(D) Scientific management

63. In Carroll's CSR pyramid, the base on which all other responsibilities rest is:

(A) Legal responsibility
(B) Ethical responsibility
(C) Philanthropic responsibility
(D) Economic responsibility

64. Reporting on 'people, planet and profit' is known as:

(A) The Marketing Mix
(B) The Triple Bottom Line
(C) The Five Forces
(D) The Balanced Scorecard

Case 4.3: The Factory and the Village: An Ethical Dilemma *(Questions 65 to 68)*
A factory provides jobs to 5,000 workers but its fumes harm 500 nearby villagers. Manager A says the decision should aim at the greatest good for the greatest number. Manager B says harming people is wrong whatever the outcome. Manager C asks what a person of good character would do in this situation.

65. Manager A's reasoning follows:
(A) Kantian ethics
(B) Utilitarianism
(C) Virtue ethics
(D) Ethical egoism

66. Manager B's reasoning follows:
(A) Utilitarianism
(B) Virtue ethics
(C) Cost-benefit analysis
(D) Kantian (deontological) ethics

67. Manager C's reasoning follows:
(A) Virtue ethics
(B) Utilitarianism
(C) Kantian ethics
(D) Legal positivism

68. The situation facing the managers is best described as:
(A) A routine production issue
(B) A tax dispute
(C) An ethical dilemma
(D) A marketing problem

Case 4.4: Coastal Cements and the Fishing Village *(Questions 69 to 72)*
Coastal Cements built a plant near a fishing village. The company trains local youth in technical skills, funds a primary health centre and publishes an annual social audit of its impact on the community. Villagers now support the plant, and its leaders say this goodwill has helped the plant run smoothly.

69. Funding the primary health centre is an example of:
(A) Insider trading
(B) Tax avoidance
(C) CSR and community engagement
(D) Price discrimination

70. Publishing an annual social audit demonstrates:
(A) Transparency about social performance
(B) Greenwashing
(C) Secrecy
(D) Cost cutting

71. Training local youth in technical skills falls under which kind of CSR activity?
(A) Political donation
(B) Product advertising
(C) Employee bonus
(D) Skill development, listed in Schedule VII

72. The long-term benefit of these actions for the company is mainly:

(A) Zero tax liability
(B) Goodwill and community support for its operations
(C) Monopoly in cement
(D) Freedom from all regulation

Case 4.5: PureLeaf's Eco-Friendly Claim *(Questions 73 to 76)*

PureLeaf advertises its packaging as '100% eco-friendly' although only 10 per cent of the packaging is recycled material. A consumer group complains. The company later cuts plastic use and publishes an independently verified sustainability report.

73. PureLeaf's original advertisement is an example of:

(A) Philanthropy
(B) Greenwashing
(C) Social audit
(D) Corporate governance

74. The advertisement violates which ethical principle most directly?

(A) Cost efficiency
(B) Brand loyalty
(C) Market segmentation
(D) Honesty and transparency

75. Under consumer law, such a claim may be treated as:

(A) A misleading advertisement
(B) A fair trade practice
(C) A legitimate sales promotion
(D) A product warranty

76. Which later step shows genuine commitment to sustainability?

(A) Increasing advertising spending
(B) Hiding packaging data
(C) Cutting plastic use and publishing an independently verified report
(D) Changing the brand logo

Case 4.6: Advertising and Local Values *(Questions 77 to 80)*

A liquor brand plans a large advertisement along a route used for a temple festival in a conservative town. Local leaders, parents and traders object, saying it offends community values. The company's ethics committee is asked to advise.

77. Society's ethical values are shaped mainly by:

(A) Stock market trends
(B) Exchange rates
(C) Culture, religion, tradition and education
(D) Tariff structures

78. The ethically sensitive course for the company is to:

(A) Respect local values and avoid insensitive promotion
(B) Go ahead since it is legal
(C) Increase the advertising to overcome protests
(D) Ignore local leaders

79. The groups objecting in this case are best described as the company's:

(A) Competitors
(B) Suppliers
(C) Auditors
(D) Stakeholders

80. Acting responsibly towards the local community is known as:

(A) Insider trading
(B) Good corporate citizenship
(C) Price skimming
(D) Vertical integration

Topic 5: Economic Systems and Policies

4 case studies | 16 questions | Q. 81 to 96

Case 5.1: Three Countries, Three Systems *(Questions 81 to 84)*
In Country X, private firms own most resources and prices are set by markets with little state interference. In Country Y, the state owns all factories and plans output centrally. In Country Z, private and public enterprises operate side by side and the government regulates key sectors, as in India.

81. Country X is best described as a:

(A) Socialist economy
(B) Capitalist economy
(C) Traditional economy
(D) Mixed economy

82. Country Y is best described as a:

(A) Capitalist economy
(B) Mixed economy
(C) Free-market economy
(D) Socialist economy

83. Country Z is best described as a:

(A) Mixed economy
(B) Capitalist economy
(C) Socialist economy
(D) Traditional economy

84. The basic problems faced by all three countries are:

(A) When to retire, whom to hire and where to tax
(B) Where to import, how to export and when to borrow
(C) What to produce, how to produce and for whom to produce
(D) What to tax, whom to tax and how to audit

Case 5.2: Response to an Economic Slowdown *(Questions 85 to 88)*
During a slowdown, the government raises spending on roads and cuts income tax. At the same time, the central bank reduces the repo rate and the Cash Reserve Ratio. Analysts say borrowing will become cheaper, but warn that if demand overshoots supply, prices could rise.

85. Higher spending on roads and an income tax cut together are measures of:

(A) Monetary policy
(B) Industrial policy
(C) Fiscal policy
(D) Foreign trade policy

86. Reducing the repo rate and Cash Reserve Ratio are measures of:

(A) Monetary policy
(B) Fiscal policy
(C) Disinvestment policy
(D) Labour policy

87. A lower repo rate is expected to:

(A) Make bank loans costlier
(B) Reduce the money supply
(C) Raise the tax rate
(D) Make bank loans cheaper and encourage investment

88. The analysts' warning refers to the risk of:

(A) Deflation

(B) Inflation
(C) Disinvestment
(D) Devaluation

Case 5.3: Prices and Growth Figures *(Questions 89 to 92)*
Vegetable prices in a country rose by 12 per cent over the year, while the general price level rose by 7 per cent. During the same period, the value of all final goods and services produced within the country grew by 6.5 per cent. The central bank is considering raising the repo rate.

89. The 7 per cent rise in the general price level is called:
(A) Deflation
(B) Inflation
(C) Stagflation
(D) Devaluation

90. The measure of the total value of final goods and services produced within the country is:
(A) Balance of trade
(B) Fiscal deficit
(C) Per capita saving
(D) Gross Domestic Product (GDP)

91. The institution considering raising the repo rate is the:
(A) Reserve Bank of India
(B) SEBI
(C) Ministry of Commerce
(D) NITI Aayog

92. Why would a rise in vegetable prices alone not by itself be called inflation?
(A) Vegetables are not goods
(B) Inflation applies only to imports
(C) Inflation refers to a sustained rise in the general price level, not a single item
(D) Prices of food can never change

Case 5.4: Stake Sale and Foreign Investment *(Questions 93 to 96)*
The government sold 20 per cent of its stake in a public sector bank to institutional investors. In the same year, a foreign company invested Rs. 500 crore to set up a factory in India and took management control of it. Officials said the investment would bring capital, technology and jobs.

93. The sale of part of the government's stake in a public sector bank is called:
(A) Nationalisation
(B) Devaluation
(C) Disinvestment
(D) Import substitution

94. The foreign company's investment to set up and control a factory is:
(A) Foreign Direct Investment (FDI)
(B) Portfolio investment only
(C) A foreign loan to the government
(D) Tourist spending

95. FDI differs from portfolio investment because FDI involves:
(A) Short-term trading of shares only
(B) Government bonds only
(C) No foreign capital
(D) A lasting interest and control in the business

96. Which of the following is a likely benefit of this FDI?

(A) Higher unemployment
(B) Capital inflow, technology transfer and employment
(C) Lower foreign exchange reserves
(D) Reduced competition

Topic 6: LPG Reforms and Their Impact on the Indian Economy and Society

8 case studies | 32 questions | Q. 97 to 128

Case 6.1: India in 1991 *(Questions 97 to 100)*

In 1991, India's foreign exchange reserves had fallen so low that they could barely pay for a few weeks of imports. The government pledged gold, devalued the rupee and launched sweeping economic reforms. The reforms were led by Prime Minister P. V. Narasimha Rao and his Finance Minister.

97. The crisis facing India in 1991 is best described as a:

(A) Budget surplus
(B) Balance of payments crisis
(C) Foreign exchange glut
(D) Fall in oil prices

98. The package of reforms launched in 1991 is known as:

(A) The Green Revolution
(B) The White Revolution
(C) Operation Flood
(D) LPG reforms (Liberalisation, Privatisation, Globalisation)

99. The devaluation of the rupee in 1991 was intended to:

(A) Boost exports and correct the balance of payments
(B) Increase imports
(C) Raise foreign exchange outflow
(D) Reduce exports

100. The Finance Minister who piloted the 1991 reforms was:

(A) Yashwant Sinha
(B) P. Chidambaram
(C) Dr. Manmohan Singh
(D) Pranab Mukherjee

Case 6.2: Ravi and the Licence Raj *(Questions 101 to 104)*

Before 1991, Ravi wanted to start a factory but had to obtain several government licences, and large firms faced limits on expansion under the MRTP Act, 1969. After 1991, licensing was abolished for most industries, and the MRTP Act was later replaced by a new law to promote competition.

101. The system of heavy licensing and controls before 1991 is popularly called:

(A) Green Revolution
(B) Free trade
(C) Licence Raj
(D) Privatisation

102. The MRTP Act, 1969 was replaced by the:

(A) Competition Act, 2002
(B) FEMA, 1999
(C) Consumer Protection Act, 2019
(D) SEBI Act, 1992

103. After the reforms, Ravi would most likely find that:

(A) Entry into industry is harder
(B) Licences are required for every product
(C) Private firms are banned
(D) Entry into industry is easier and competition is higher

104. The New Industrial Policy of 1991:

(A) Imposed licensing on all industries

(B) Abolished industrial licensing for most industries
(C) Banned foreign investment
(D) Nationalised all banks

Case 6.3: Hindustan Hotels: A Public Sector Sale *(Questions 105 to 108)*
The government decides to sell its majority stake in Hindustan Hotels Corporation, a loss-making public sector firm, along with management control, to a private company. The government says the aim is to raise funds and improve efficiency. A different public sector undertaking, in atomic energy, remains under state control.

105. The sale of majority stake and management control to a private company is:
(A) Nationalisation
(B) Privatisation
(C) Devaluation
(D) Import substitution

106. The atomic energy undertaking remaining with the state is because:
(A) It is a loss-making sector
(B) Private firms are not interested in any sector
(C) The law bans all privatisation
(D) Atomic energy continued to be reserved for the public sector

107. The government's stated aims for the sale are:
(A) To raise funds and improve efficiency
(B) To expand the licensing system
(C) To increase the fiscal deficit
(D) To reduce competition

108. Disinvestment differs from privatisation mainly because disinvestment:
(A) Always transfers management to private owners
(B) Means buying private firms
(C) May involve selling only a part of the stake, with the government retaining control
(D) Means closing a firm

Case 6.4: InfoServe BPO, Bengaluru *(Questions 109 to 112)*
InfoServe, a Bengaluru firm, handles customer support for American clients at a lower cost, using skilled English-speaking staff. India's services exports have grown rapidly since the 1990s, helped by the WTO's rules-based trading system, which India joined as a founding member. However, InfoServe depends heavily on demand from foreign clients.

109. InfoServe's business is a typical example of:
(A) Import substitution
(B) Nationalisation
(C) Globalisation of services
(D) Licence Raj

110. The WTO, which came into existence in 1995, provides:
(A) A rules-based system for international trade
(B) Loans to governments
(C) Control over India's tax system
(D) Licences for domestic firms

111. InfoServe's cost advantage mainly arises from:
(A) Import duties
(B) Government subsidies on clients' purchases
(C) Monopoly power
(D) Skilled, English-speaking labour at lower wages than in the client country

112. A major risk faced by InfoServe is:

(A) Absence of any competition
(B) Dependence on foreign demand and exchange-rate movements
(C) A ban on exports
(D) Lack of customers abroad forever

Case 6.5: Meena's Two Worlds *(Questions 113 to 116)*

Before 1991, Meena's family waited years for a scooter or a telephone connection, and choices were limited. Today she can choose from many brands, including foreign ones, and from several mobile plans regulated by TRAI. Services now contribute the largest share of India's GDP.

113. Meena's wider choice and better quality are positive outcomes mainly of:

(A) Strict import quotas
(B) Increased competition after liberalisation
(C) Public sector monopolies
(D) Licence Raj

114. The telecom regulator mentioned in the case is:

(A) SEBI
(B) IRDAI
(C) RBI
(D) TRAI

115. The sector with the largest share in India's GDP now is:

(A) Services
(B) Agriculture
(C) Mining
(D) Manufacturing

116. The availability of foreign brands was made possible by:

(A) Higher import duties
(B) Nationalisation of banks
(C) Reduced import tariffs and liberalised foreign investment
(D) A ban on foreign companies

Case 6.6: The Handloom Village and the City *(Questions 117 to 120)*

A village handloom cooperative is losing customers to cheaper imported fabrics and large brands. In the same period, urban software professionals see their incomes rise sharply, while rural incomes grow slowly. Critics say the reforms have benefited some regions and groups much more than others.

117. The handloom cooperative's problem illustrates the criticism that:

(A) Multinationals never enter India
(B) Prices always rise after reforms
(C) Small domestic firms face intense competition from big firms and multinationals
(D) Exports always fall

118. The widening gap between urban professionals and rural families illustrates:

(A) Growing income inequality
(B) Equal distribution of income
(C) Decline in services
(D) Falling imports

119. The uneven growth across regions after the reforms is a concern of:

(A) Perfect competition
(B) Full employment
(C) Fiscal surplus
(D) Regional disparity

120. Which measure would best help the cooperative cope?

(A) Closing the cooperative
(B) Credit, marketing support and skill training for small units
(C) Banning all imports permanently
(D) Removing all taxes on large firms

Case 6.7: Foreign Capital and the Law *(Questions 121 to 124)*

A foreign carmaker sets up a plant in India. In 1991 the government had allowed automatic approval for foreign equity up to 51 per cent in 34 high-priority industries. Later, the strict Foreign Exchange Regulation Act, 1973 (FERA) was replaced by a more liberal law aimed at facilitating external trade and payments.

121. The Act that replaced FERA, 1973 is:

(A) Competition Act, 2002
(B) FEMA, 1999
(C) Companies Act, 2013
(D) Information Technology Act, 2000

122. The 1991 automatic approval for foreign equity was up to:

(A) 100% in all sectors
(B) 26% in all sectors
(C) 0%, as no foreign equity was allowed
(D) 51% in 34 high-priority industries

123. FEMA, compared with FERA, is:

(A) More liberal and aimed at facilitating external trade and payments
(B) More restrictive
(C) Only about domestic taxes
(D) A labour law

124. A benefit of FDI to India is:

(A) Reduced production
(B) Fewer job opportunities
(C) Capital, technology and employment
(D) Lower foreign investment

Case 6.8: Banking and Tax Reforms *(Questions 125 to 128)*

After 1991, private banks were allowed to enter the sector, banking rules were relaxed on the recommendations of a high-level committee, customs duties were reduced and tax rates were simplified. Domestic firms found that imported goods became cheaper and competition increased.

125. The committee that recommended banking sector reforms in 1991 was the:

(A) Kelkar Committee
(B) Shah Committee
(C) Narasimham Committee
(D) Cadbury Committee

126. The reduction of customs duties is part of:

(A) Trade liberalisation
(B) Nationalisation
(C) Import substitution
(D) Licensing

127. The simplification and rationalisation of tax rates helped to:

(A) Increase tax evasion
(B) Abolish all taxes
(C) Impose import quotas
(D) Improve tax compliance and reduce complexity

128. Lower tariffs forced domestic firms to:

(A) Stop production
(B) Improve efficiency and quality to face competition
(C) Depend entirely on the government
(D) Ignore consumers

Topic 7: Environmental Protection Laws and Regulation of Unethical Business Practices

6 case studies | 24 questions | Q. 129 to 152

Case 7.1: Riverside Textiles *(Questions 129 to 132)*
Riverside Textiles discharges untreated dye effluents into a river. Fish die and villagers fall ill. The state pollution control board files a case. The company is told that it must bear the cost of cleaning up, and the matter is taken up by a specialised tribunal for environmental disputes.

129. Discharging untreated effluents into a river most directly violates the:

(A) Sale of Goods Act, 1930
(B) Water (Prevention and Control of Pollution) Act, 1974
(C) Competition Act, 2002
(D) Payment of Bonus Act, 1965

130. The principle that the company must bear the cost of cleaning up is:

(A) Caveat emptor
(B) The Doctrine of Lapse
(C) Laissez-faire
(D) The Polluter Pays principle

131. The specialised tribunal for environmental disputes is the:

(A) National Green Tribunal
(B) Competition Commission of India
(C) Securities Appellate Tribunal
(D) Consumer Commission

132. The umbrella law, enacted in 1986 after the Bhopal gas tragedy, is the:

(A) Air Act
(B) Wildlife Protection Act
(C) Environment (Protection) Act
(D) Forest Conservation Act

Case 7.2: MegaPower's Coal Plant *(Questions 133 to 136)*
MegaPower Ltd plans a coal-fired power plant near a forest. Before starting, it must carry out a study of the project's likely effects on air, water and wildlife, hold a public hearing and obtain clearance from the central environment ministry. Environmentalists argue the project must meet present energy needs without harming future generations.

133. The study of the project's likely environmental effects is called:

(A) Cost audit
(B) Social audit
(C) Environmental Impact Assessment (EIA)
(D) Market survey

134. Environmental clearance for such projects is granted by the:

(A) Ministry of Environment, Forest and Climate Change
(B) SEBI
(C) RBI
(D) Competition Commission of India

135. The environmentalists' argument reflects the idea of:

(A) Economic nationalism
(B) Import substitution
(C) Profit maximisation at any cost
(D) Sustainable development

136. The law specifically dealing with air emissions from the plant is the:

(A) Water Act, 1974
(B) Air (Prevention and Control of Pollution) Act, 1981
(C) Companies Act, 2013
(D) Contract Act, 1872

Case 7.3: GadgetHub's Take-Back Scheme *(Questions 137 to 140)*
GadgetHub collects old phones and chargers from customers and sends them for safe recycling, in line with rules requiring producers to manage the waste from their products. The company says this protects the environment and helps it comply with the law.

137. The producer's duty to manage the waste of its products after use is called:

(A) Product differentiation
(B) Extended Producer Responsibility (EPR)
(C) Vertical integration
(D) Corporate takeover

138. Rules on managing electronic waste are framed under the:

(A) Consumer Protection Act, 2019
(B) Competition Act, 2002
(C) Indian Contract Act, 1872
(D) Environment (Protection) Act, 1986

139. GadgetHub's scheme encourages:

(A) Recycling and resource conservation
(B) Greater dumping of waste
(C) Higher resource extraction
(D) Avoidance of environmental rules

140. Besides compliance, a likely benefit to GadgetHub is:

(A) Immunity from all laws
(B) A monopoly in electronics
(C) A better reputation among environmentally conscious customers
(D) Zero costs

Case 7.4: Alpha Pharma's Finance Director *(Questions 141 to 144)*
The finance director of Alpha Pharma learns of an unannounced merger that will push up the share price. Before the news is public, he buys shares through his brother and makes a large profit. An employee who learns of it reports the matter through the company's confidential reporting channel.

141. The finance director's act is an example of:

(A) Day trading
(B) Diversification
(C) Insider trading
(D) Disinvestment

142. The regulator that deals with such offences in the securities market is:

(A) SEBI
(B) RBI
(C) TRAI
(D) IRDAI

143. Why is the act unethical?

(A) He paid taxes on profits
(B) He invested in shares
(C) He followed the law strictly
(D) He used non-public, price-sensitive information for unfair gain

144. The employee who reported the matter is known as a:

(A) Shareholder
(B) Whistle-blower
(C) Competitor
(D) Lender

Case 7.5: Meridian Infotech: A Fraud Revealed *(Questions 145 to 148)*
The chairman of Meridian Infotech admits that for years the company's profits were inflated and bank balances were falsified in its accounts. The case resembles the Satyam scandal of 2009. Investors lose heavily, and regulators tighten rules on boards and auditors.

145. The chairman's act is an example of:

(A) Philanthropy
(B) Corporate fraud through falsification of accounts
(C) Insider tip-offs
(D) Product innovation

146. Which ethical principles were most directly violated?

(A) Environmental sustainability
(B) Community engagement
(C) Consumer education
(D) Honesty and transparency

147. Such scandals led to stronger emphasis on:

(A) Corporate governance and board accountability
(B) Reducing disclosure
(C) Abolishing audits
(D) Allowing more related-party deals secretly

148. Who should be held answerable in such a case, along with the chairman?

(A) Customers
(B) Competitors
(C) Directors and auditors who failed in their duties
(D) Suppliers

Case 7.6: BuildRight and the Permit *(Questions 149 to 152)*
A sales manager at BuildRight, a construction firm, pays a municipal officer a sum of money to clear a building permit quickly. A junior colleague learns of this. The company's ethics policy forbids any payment to officials for favours.

149. The payment to the municipal officer is an example of:

(A) A discount
(B) A trade commission
(C) Bribery
(D) Sales promotion

150. The law that deals with bribery of public servants in India is the:

(A) Prevention of Corruption Act, 1988
(B) Sale of Goods Act, 1930
(C) Competition Act, 2002
(D) Consumer Protection Act, 2019

151. The most appropriate action for the junior colleague is to:

(A) Stay silent
(B) Ask for a share
(C) Tell competitors
(D) Report the matter through the company's ethics or whistle-blowing channel

152. A likely long-term consequence for BuildRight is:

(A) Guaranteed higher profits
(B) Legal penalties and loss of reputation
(C) Freedom from all regulation
(D) Zero risk

Topic 8: Consumerism and Consumer Rights

6 case studies | 24 questions | Q. 153 to 176

Case 8.1: Anil's Overheating Phone *(Questions 153 to 156)*
Anil buys a Rs. 40,000 phone through an online marketplace. After two weeks the phone overheats and catches fire, causing him minor burns. The seller refuses a refund and blames the manufacturer. Anil decides to take legal action under the consumer law in force.

153. Which consumer right was violated in this case?

(A) Right to bargain
(B) Right to safety
(C) Right to hoard
(D) Right to profit

154. Anil should first approach the:

(A) National Commission directly
(B) SEBI
(C) Competition Commission of India
(D) District Consumer Commission

155. The law under which Anil's complaint falls, including online purchases, is the:

(A) Consumer Protection Act, 2019
(B) Sale of Goods Act, 1930 only
(C) Companies Act, 2013
(D) Information Technology Act, 2000 only

156. The concept that makes the manufacturer or seller answerable for harm from a defective product is:

(A) Caveat emptor
(B) Consumer apathy
(C) Product liability
(D) Brand loyalty

Case 8.2: GlowCream's Promise *(Questions 157 to 160)*
GlowCream advertises that its cream gives 'guaranteed fairness in seven days' and shows edited before-and-after photographs. Many buyers complain that the product did nothing. The authority created under the Consumer Protection Act, 2019 begins an inquiry.

157. The advertisement is best described as:

(A) Fair trade practice
(B) Sales promotion
(C) Misleading
(D) Product differentiation

158. The authority that can inquire into such violations and order that the advertisement be withdrawn is the:

(A) Central Consumer Protection Authority (CCPA)
(B) TRAI
(C) SEBI
(D) Competition Commission of India

159. Which consumer right is mainly violated by the false claim?

(A) Right to safety only
(B) Right to political representation
(C) Right to bargain
(D) Right to be informed

160. The industry body that handles complaints against advertising through self-regulation is:

(A) Bureau of Indian Standards
(B) Advertising Standards Council of India (ASCI)
(C) FSSAI
(D) RBI

Case 8.3: Water at the Railway Station *(Questions 161 to 164)*
At a railway station, a shopkeeper sells a bottle of packaged drinking water with a printed MRP of Rs. 20 for Rs. 30, saying 'take it or leave it'. A traveller objects and says the bottle also does not show any food safety licence number.

161. Charging more than the printed MRP is:
(A) A legitimate discount
(B) An unfair trade practice
(C) A fair business practice
(D) Permitted by law

162. Which consumer right allows the traveller to seek compensation for such practice?
(A) Right to hoard
(B) Right to avoid taxes
(C) Right to bargain below cost
(D) Right to seek redressal

163. The authority concerned with food safety standards such as licence numbers is:
(A) FSSAI
(B) SEBI
(C) TRAI
(D) IRDAI

164. Consumer law has moved away from 'caveat emptor' towards the idea that the:
(A) Buyer alone bears all risk
(B) Government fixes all prices
(C) Seller must also take responsibility ('let the seller beware')
(D) Sale cannot be challenged

Case 8.4: The Consumer Club in Ernakulam *(Questions 165 to 168)*
Residents of an Ernakulam colony form a consumer club. They organise awareness camps on reading labels and bills, help neighbours file complaints and plan special programmes on 15 March and 24 December.

165. The consumer club's activities form part of:
(A) A business strategy to maximise sales
(B) A government monopoly
(C) The consumerism movement
(D) A political party campaign

166. 15 March is observed as:
(A) World Consumer Rights Day
(B) National Consumer Day in India
(C) World Environment Day
(D) Labour Day

167. 24 December is observed in India as:
(A) World Consumer Rights Day
(B) Republic Day
(C) Human Rights Day
(D) National Consumer Day

168. Teaching residents to read labels and bills promotes the right to:

(A) Hoard goods
(B) Consumer education (awareness)
(C) Seek profit
(D) Avoid tax

Case 8.5: Priya's Appeal *(Questions 169 to 172)*
Priya files a complaint about a faulty washing machine, but the District Commission rules against her. She believes the decision is wrong and wants to appeal. She also learns that disputes can sometimes be settled through mediation instead of a long hearing.

169. An appeal against an order of the District Commission generally goes to the:
(A) National Commission directly
(B) State Commission
(C) Supreme Court directly
(D) Lok Adalat only

170. A complaint should generally be filed within what period from the date the cause of action arises?
(A) One month
(B) Six months
(C) Five years
(D) Two years

171. The top tier in the three-tier consumer redressal system is the:
(A) National Consumer Disputes Redressal Commission
(B) District Commission
(C) State Commission
(D) Consumer Court of the Panchayat

172. An alternative to a long hearing offered under the 2019 Act is:
(A) Arbitration only by the seller
(B) Appeal to SEBI
(C) Mediation
(D) Appeal to the RBI

Case 8.6: Rahul's Shopping List *(Questions 173 to 176)*
Rahul buys a pressure cooker, a jar of honey and a gold necklace. He looks for quality marks on each: a mark from the national standards body on the cooker, a mark for agricultural produce on the honey, and a hallmark on the necklace.

173. The ISI mark on the pressure cooker is granted by the:
(A) FSSAI
(B) Reserve Bank of India
(C) Bureau of Indian Standards
(D) Ministry of Agriculture

174. The mark for agricultural produce on the honey is:
(A) Agmark
(B) ISI mark
(C) Hallmark
(D) Eco mark

175. Hallmarking on the necklace certifies:
(A) The weight of the packaging
(B) The country of origin of the buyer
(C) The price of the necklace
(D) The purity of gold

176. Such quality marks mainly support the consumer's right to:

(A) Hoard goods
(B) Safety and to be informed
(C) Avoid payment
(D) Fix prices

Topic 9: Ethical Codes in Business and Their Relevance

6 case studies | 24 questions | Q. 177 to 200

Case 9.1: Lotus Retail's Procurement Head *(Questions 177 to 180)*
The procurement head at Lotus Retail is offered a luxury holiday by a supplier who is bidding for a large contract. The head knows the supplier's prices are higher than those of other bidders. The company's code of conduct requires employees to avoid personal gain from business dealings.

177. The situation described is an example of a:

(A) Routine purchase
(B) Conflict of interest
(C) Trade discount
(D) Sales promotion

178. The ethical action for the procurement head is to:

(A) Accept quietly
(B) Accept and award the contract
(C) Accept and share with colleagues
(D) Decline the offer and disclose it to the company

179. Refusing the offer would show the value of:

(A) Integrity
(B) Profit maximisation
(C) Brand loyalty
(D) Risk taking

180. The document guiding employees in such situations is the:

(A) Balance sheet
(B) Marketing plan
(C) Code of ethics or conduct
(D) Production schedule

Case 9.2: Zenith Software: Pay Gap *(Questions 181 to 184)*
At Zenith Software, women are paid less than men for the same role and experience. A woman engineer complains to HR. An ethics review finds that the pay policy has no clear rules and that managers set salaries at their discretion.

181. The practice described violates the principle of:

(A) Transparency of the product
(B) Environmental sustainability
(C) Fairness
(D) Community engagement

182. The practice also fails to respect employees':

(A) Rights to equal and non-discriminatory treatment
(B) Right to hoard
(C) Right to profit
(D) Right to bargain below cost

183. The best remedy suggested by the review would be:

(A) Hiding salary data
(B) Dismissing the complainant
(C) Ignoring the complaint
(D) A transparent pay policy and revision of salaries

184. The document that sets out employee conduct and company values is the:

(A) Income statement

(B) Code of ethics
(C) Cash budget
(D) Production plan

Case 9.3: A Listed Company's Disclosures *(Questions 185 to 188)*
A listed company regularly publishes its quarterly results, executive pay and related-party transactions, and explains major decisions to investors. Analysts say this has raised investor confidence. The disclosures follow the listing rules framed by the securities regulator.

185. The company's practice of open disclosure reflects:
(A) Secrecy
(B) Transparency
(C) Greenwashing
(D) Cost cutting

186. The regulator whose listing rules the company follows is:
(A) RBI
(B) TRAI
(C) IRDAI
(D) SEBI

187. The system by which companies are directed and controlled is:
(A) Corporate governance
(B) Corporate raiding
(C) Cost accounting
(D) Product development

188. A key benefit of such disclosure is:
(A) Higher secrecy
(B) Lower accountability
(C) Greater trust of investors
(D) Zero regulation

Case 9.4: EcoWeave Textiles *(Questions 189 to 192)*
EcoWeave Textiles has cut water use in dyeing, installed rooftop solar panels and sources organic cotton from farmers it supports with training. It publishes verified data on its water and energy savings every year.

189. EcoWeave's actions mainly reflect the code of:
(A) Price discrimination
(B) Insider trading
(C) Environmental sustainability
(D) Product dumping

190. In the Triple Bottom Line, these actions belong most closely to:
(A) Planet
(B) Profit only
(C) Price
(D) Promotion

191. A likely long-term benefit for EcoWeave is:
(A) Immunity from the law
(B) A guaranteed monopoly
(C) No need to disclose data
(D) Cost savings and a stronger brand

192. What distinguishes EcoWeave from a greenwasher?
(A) It spends more on advertising

(B) Its claims are backed by genuine, verified practices
(C) It avoids reporting
(D) It changes its brand name often

Case 9.5: Skyline BPO: A Complaint at Work *(Questions 193 to 196)*
An employee at Skyline BPO complains that her manager repeatedly makes unwelcome remarks and advances. The firm has more than ten employees. It must now follow the law on sexual harassment at the workplace and ensure that the complaint is handled fairly.

193. The law governing such complaints, enacted in 2013, is the:
(A) Industrial Disputes Act
(B) Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act
(C) Payment of Wages Act
(D) Consumer Protection Act

194. Under this law, the firm must set up an:
(A) Audit Committee only
(B) Marketing Committee
(C) Merger Committee
(D) Internal Committee

195. Handling the complaint properly upholds the employee's:
(A) Right to dignity and a safe workplace
(B) Right to hoard
(C) Right to bargain
(D) Right to avoid tax

196. Holding the manager answerable for his behaviour reflects the principle of:
(A) Secrecy
(B) Profit maximisation
(C) Accountability
(D) Brand building

Case 9.6: SafeBrake's Defective Batch *(Questions 197 to 200)*
A quality inspector at SafeBrake Ltd finds that a batch of brake parts is defective. His manager tells him to ship the batch anyway to meet a deadline. The inspector reports the matter through the company's vigil mechanism and the batch is stopped.

197. The inspector's act of reporting is known as:
(A) Insider trading
(B) Price fixing
(C) Whistle-blowing
(D) Dumping

198. The manager's instruction violates the principles of:
(A) Honesty and concern for customer safety
(B) Fair taxation
(C) Community engagement
(D) Shareholder profit only

199. A vigil mechanism for such reports is required for specified companies under the:
(A) Consumer Protection Act
(B) FEMA
(C) Indian Contract Act
(D) Companies Act, 2013

200. The inspector's decision to report, despite pressure, shows:

(A) Disloyalty without cause
(B) Integrity
(C) Profit motive
(D) Lack of discipline

TOPIC-WISE ANSWER KEY

Topic 1: Business Environment, Internal and External Factors (Q. 1 to 20)

Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.
1	B	2	D	3	A	4	C	5	C
6	A	7	D	8	B	9	B	10	D
11	A	12	C	13	C	14	A	15	D
16	B	17	B	18	D	19	A	20	C

Topic 2: PESTLE Analysis (Q. 21 to 40)

Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.
21	C	22	A	23	D	24	B	25	B
26	D	27	A	28	C	29	C	30	A
31	D	32	B	33	B	34	D	35	A
36	C	37	C	38	A	39	D	40	B

Topic 3: Role of Government in Business (Q. 41 to 56)

Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.
41	B	42	D	43	A	44	C	45	C
46	A	47	D	48	B	49	B	50	D
51	A	52	C	53	C	54	A	55	D
56	B								

Topic 4: Ethical Values of Society and Corporate Social Responsibility (Q. 57 to 80)

Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.
57	B	58	D	59	A	60	C	61	C
62	A	63	D	64	B	65	B	66	D
67	A	68	C	69	C	70	A	71	D
72	B	73	B	74	D	75	A	76	C
77	C	78	A	79	D	80	B		

Topic 5: Economic Systems and Policies (Q. 81 to 96)

Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.
81	B	82	D	83	A	84	C	85	C
86	A	87	D	88	B	89	B	90	D
91	A	92	C	93	C	94	A	95	D
96	B								

Topic 6: LPG Reforms and Their Impact on the Indian Economy and Society (Q. 97 to 128)

Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.
97	B	98	D	99	A	100	C	101	C
102	A	103	D	104	B	105	B	106	D

107	**A**	108	**C**	109	**C**	110	**A**	111	**D**
112	**B**	113	**B**	114	**D**	115	**A**	116	**C**
117	**C**	118	**A**	119	**D**	120	**B**	121	**B**
122	**D**	123	**A**	124	**C**	125	**C**	126	**A**
127	**D**	128	**B**						

Topic 7: Environmental Protection Laws and Regulation of Unethical Business Practices (Q. 129 to 152)

Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.
129	**B**	130	**D**	131	**A**	132	**C**	133	**C**
134	**A**	135	**D**	136	**B**	137	**B**	138	**D**
139	**A**	140	**C**	141	**C**	142	**A**	143	**D**
144	**B**	145	**B**	146	**D**	147	**A**	148	**C**
149	**C**	150	**A**	151	**D**	152	**B**		

Topic 8: Consumerism and Consumer Rights (Q. 153 to 176)

Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.
153	**B**	154	**D**	155	**A**	156	**C**	157	**C**
158	**A**	159	**D**	160	**B**	161	**B**	162	**D**
163	**A**	164	**C**	165	**C**	166	**A**	167	**D**
168	**B**	169	**B**	170	**D**	171	**A**	172	**C**
173	**C**	174	**A**	175	**D**	176	**B**		

Topic 9: Ethical Codes in Business and Their Relevance (Q. 177 to 200)

Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.	Q. No.	Ans.
177	**B**	178	**D**	179	**A**	180	**C**	181	**C**
182	**A**	183	**D**	184	**B**	185	**B**	186	**D**
187	**A**	188	**C**	189	**C**	190	**A**	191	**D**
192	**B**	193	**B**	194	**D**	195	**A**	196	**C**
197	**C**	198	**A**	199	**D**	200	**B**		